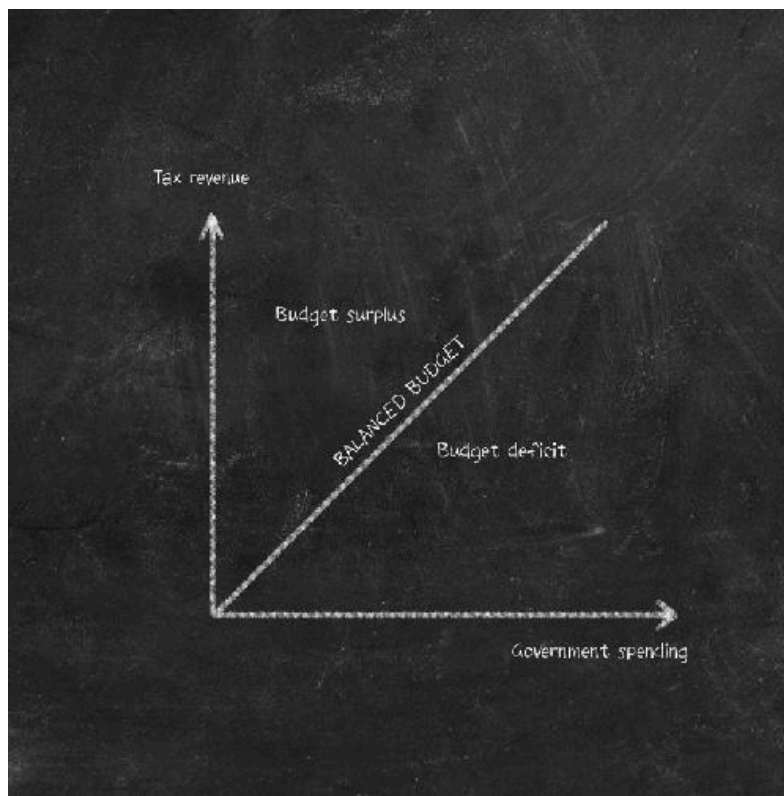


The balanced budget



Politicians often extol the virtues of 'balancing the budget', ensuring that government spending equals tax revenue so that there is no budget deficit or surplus. A strict version would have the budget balance in every year, but this is hard to achieve: the budget automatically goes into deficit during a downturn as the government has to spend more on unemployment benefits while collecting less in tax, reverting to surplus during periods of high growth.

Most economists would not advocate balancing the budget year by year. Some recommend balancing it 'over the cycle', meaning that apart from these cyclical effects the budget stays in balance. Deficits imply a build-up of debt that future generations have to repay. They mean that less resources are saved, leading to higher interest rates and lower investment. Other economists are much more sanguine about deficits, arguing that cuts to

certain kinds of expenditure, such as health and education, might actually reduce growth.